Money income is tangible and is used for purchasing goods and services for the family. The sources of money income are given below.

Sources of money income

- Salary
- Bonus
- Wages
- Dividends from shares
- Pension
- Lotteries
- Rent
- Profits
- Cash gifts
- Interest from banks
- Investments

2. Real income

Real income is the stream of goods and services available to a family over a period of time. Real income is derived from properties and possessions owned by a family, skills, efforts and abilities of the family members and also from community facilities. These goods and services may be available to a family either directly through direct contribution of family members or by community facilities or indirectly when some medium of exchange, usually money is involved.

3. Psychic income:

It is the flow of satisfaction that arises out of everyday experiences, derived largely from use of money and real income. It is intangible, subjective and is the most important income in terms of quality of living. Psychic income depends on the skills of family members in utilizing their money and commodities judiciously. Satisfaction derived out of flowers obtained from the plants at home is an example for psychic income.

7.7.2 Factors Affecting Income of a Family

Several factors affect income generation such as:

a. **Skills and talents:** If a person has tailoring skills, they can start a boutique, while a knowledgeable homemaker can conduct bakery classes and generate income.

b. **Time and energy:** A person with time and adequate energy would be able to supplement his income by doing additional work.

c. **Interest in job:** A higher interest in the job increases efficiency which in turn helps in career advancement through promotions and results in a higher salary.

d. **Location of home:** Living in a remote area may lead to lesser job opportunities as compared to Cosmopolitan cities where there are more job opportunities.

e. **Investments/assets:** The more a person invests, the more interest can be earned. Other assets like property/ land also help in generating income through rent.

7.8 EXPENDITURE AND BUDGET MANAGEMENT

Happiness of the family is secured by income use or expenditure. The outflow of money is called expenditure. After earning money, a family spends it on their various needs, basic necessities such as food, clothing and shelter. After their needs are fulfilled, the family desires to have comforts and luxuries, which makes the family members more comfortable. All these expenses are referred

Chapter7_156-184.indd 172 31-01-2019 15:24:38